

POLICY & REGULATION

NYC Food Cart Battery Pilot Tests a New CRE Asset Class: Swap Cabinets as Infrastructure

A \$74K pilot in Queens reveals the capital stack challenge of electrifying 20,500 mobile vendors.

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A source-grounded Light Tower Insight.

A credit committee reviewing a loan for a battery-swap cabinet network would start with a simple question: what is the collateral, and who pays if the vendor stops swapping?

That question is not academic. This week, New York City launched a six-month pilot at Flushing Meadows-Corona Park, outfitting two food carts with electric batteries from PopWheels, a Brooklyn-based startup that already runs swap cabinets for e-bike delivery workers. The city plans to add eight more vendors in the coming weeks. The Mayor's Fund and nonprofit Resilient Cities Catalyst are putting up \$74,000 to cover the cost. The vendors pay nothing.

The pilot is small. The capital question it raises is not.

According to the Mayor's Office of Climate and Environmental Justice, there are an estimated 20,500 mobile food vendors in New York City. A 2025 report from the Street Vendor Project, a partner on the pilot, found that 97% use diesel generators. The same report found that most vendors would consider alternative power but were not familiar with the options.

Twenty thousand five hundred vendors. Ninety-seven percent diesel. That is a concentrated, cash-flow-intensive, and largely unserved energy demand node. It is also a real estate problem.

PopWheels has installed two swap cabinets inside Flushing Meadows-Corona Park. Vendors drop off spent batteries and pick up charged replacements. The company already runs a subscription model for e-bike delivery workers: \$75 to \$95 per month for access to a network of cabinets. Ben Rosenn, PopWheels' director of deployments, told Gothamist that the pricing for street vendors would be different because a single vendor may need multiple batteries at once for a full day of operation.

The mechanism is straightforward. The capital stack is not.

PopWheels is not a utility. It is a private company placing capital equipment on public land, serving a customer base with thin margins, seasonal revenue, and no long-term contracts. The cabinets themselves are the hard asset. The subscription revenue is the cash flow. The vendor is the counterparty.

A lender underwriting this model would need to answer three things. First, what is the cabinet's useful life and residual value? Second, what is the vendor churn rate and payment history? Third, who bears the cost if a vendor stops swapping or the park access agreement expires?

The pilot does not answer those questions. It is designed to test something earlier in the chain: whether vendors will actually use the batteries, whether the swap model solves the capacity problem that doomed an earlier Street Vendor Project pilot in 2024, and whether the operating cost can be low enough to compete with diesel.

The earlier pilot failed because batteries would not last all day and vendors could not recharge overnight. The current model addresses that by making multiple batteries available and allowing swaps throughout the day. PopWheels plans to deliver batteries to vendors operating outside the park, including at nearby Corona Plaza.

That is a logistics improvement. It is not a financing solution.

For the swap-cabinet model to scale from two vendors to 20,500, someone has to deploy significant capital into cabinets, batteries, and delivery infrastructure. The city is not that someone. The \$74,000 pilot is grant money, not a capital budget line item. The Street Vendor Project's longer-term goal is grid connections, which would require utility coordination, street work, and permitting at a scale that makes the pilot look like a rounding error.

In the near term, the most likely capital source is private debt or equity, secured against the cabinets and the subscription revenue. That is a CRE-adjacent asset class: think of it as distributed energy infrastructure with a real estate footprint. The cabinets occupy park land, sidewalk space, or private property. The revenue depends on vendor density and willingness

The pilot's most revealing number is not the \$74,000. It is the 97% diesel figure. That is the addressable market. It is also the switching cost. Diesel generators are cheap to buy, familiar to operate, and require no subscription. A vendor who switches to batteries gains quiet, cool operation, and cleaner air. They also gain a monthly bill and a dependency on swap-cabinet availability.

The pilot will test whether the value proposition is strong enough to overcome that friction. If it is, the next question is whether the infrastructure can be financed at a cost that keeps the subscription price low enough to retain vendors.

That is a classic infrastructure finance tension: high upfront capital, thin operating margins, and a customer base with limited ability to absorb price increases. The lenders who solve that tension will own a new asset class. The ones who wait for proof of concept will buy at a higher basis.

The pilot runs for six months. By January, the city and PopWheels will have data on swap frequency, battery utilization, vendor retention, and operating cost. That data will determine whether the model is a policy curiosity or a capital markets opportunity.

A credit committee should be watching. The collateral is real. The cash flow is unproven. The timing is early. That is exactly when the smartest capital gets deployed.